The problem I want to focus on in this lecture is that the sanctity of the debt contract has been continuously eroded in India in recent years, not by the small borrower but by the large borrower. And this has to change if we are to get banks to finance the enormous infrastructure needs and industrial growth that this country aims to attain.

The reality is that too many large borrowers do not see the lender, typically a bank, as holding a senior debt claim that overrides all other claims when the borrower gets into trouble, but as holding a claim junior to the borrower's own equity claim. In much of the globe, when a large borrower defaults, he is contrite and desperate to show that the lender should continue to trust him with management of the enterprise. In India, too many large borrowers insist on their divine right to stay in control despite their unwillingness to put in new money. The firm and its many workers, as well as past bank loans, are the hostages in this game of chicken – the promoter threatens to run the enterprise into the ground unless the government, banks, and regulators make the concessions that are necessary to keep it alive. And if the enterprise regains health, the promoter retains all the upside, forgetting the help he got from the government or the banks – after all, banks should be happy they got some of their money back! No wonder government ministers worry about a country where we have many sick companies but no 'sick' promoters.

Let me emphasize that I do not intend in any way to cast aspersions on the majority of Indian businesspeople who treat creditors fairly. I also don't want to argue against risk taking in business. If business does not take risks, we will not get architectural marvels like our new international airports, the 'developed-for-India' low-cost business model in the telecom sector, or our world-class refineries. Risk taking inevitably means the possibility of default. An